

Rpt Date 21/Oct/2006			Well Name/No Bilabri D3			Section Name/No 12 1/4" hole #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 04/Oct/2006			MD 1775.00 m		Progress 338.00 m		Present Activity Drilling Formation								
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN							
Drilling Assembly			Casing			Volumes	Pump Information										
Bit Gauge in	Mfr	Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min			
12 1/4	HCC	PDC			19 1/2	166.20	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	63	316			
Drill Collars			Drill Pipe			20	18 3/4	199.58	939.9	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	63	316	
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	829.50	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	63	316	
8 1/4	2.800	33.74	5	4.276	1535.63		12 1/4	1775.00	434								
8	2.800	46.73	5	3	158.56				Tot Active								
									1373.9	Circulation Times							
									In Storage	Surface to Bit			min/stks		Total System		min/stks
									397	Bottoms Up			min/stks				
Mud Properties					Max Ann Velocity		Hole Information										
Property		1	2	3	4	AV Riser	ft/min	Standpipe Pressure	3420 psi	Water Depth					145.00 m		
Sample From		Reserve	Flow Line	Active Pit	Flow Line	AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate					USgal/min		
Check Time		05:00	10:00	20:00	23:00	AV Open Hole	ft/min	Solids Analysis									
MD m		1520.00	1655.00	1698.00	1765.00	Vc Open Hole	ft/min	Property	1	2	3	4					
TVD m		1512.00	1654.00	1698.00	1764.00	Vc Drill Pipe	ft/min	LGS %	5.83	7.68	7.82	7.74					
Bit Depth m		1520.00	1654.00	1698.00	1765.00	Min Ann Velocity		LGS lb/bbl	53.11	69.98	71.29	70.51					
Inc deg		1.26	1.56	1.10	0.78	AV Riser	ft/min	HGS %	6.19	5.41	5.06	5.14					
Density ppg		10.10	10.10	10.10	10.10	AV Casing	ft/min	HGS lb/bbl	91.14	79.69	74.42	75.60					
Funnel Visc. sec/ quart		64.0	71.0	59.0	69.0	AV Open Hole	ft/min	Avg Dens Sol sg	3.4241	3.2616	3.2281	3.2383					
Circ BHTdegF		175.0	185.1	181.0	185.0	Bit Information											
Flow Line Temp degF			146.0	113.0	165.0	Size	12 1/4 in										
Test Temp degF		90.0	110.0	110.0	120.0	Hours On Bit											
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number											
PV cP		23	27	24	29	BHA Number		5	Rheology								
YP lbf/100ft^2		19	26	29	30	Depth In	844.00 m	600 RPM	65	80	77	88					
10sec Gel lbf/100ft^2		8	17	15	17	Bit RPM			300 RPM	42	53	53	59				
10min Gel lbf/100ft^2		14	30	32	31	WOB		klbf	200 RPM	32	42	43	48				
HTHP Filtrate cc		4.0	2.8	3.0	3.2	Nozzles		7x16	100 RPM	23	32	31	36				

ADVANTAGE Daily Drilling Fluids Report - 21



INTEQ

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	2.0	2 x 210	3.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	12.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	12.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	12.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					39	0	

Volumes								
Additions bbl			Losses bbl			Total Volumes bbl		
Mud Added	Weight Materials		Downhole	30	Left In Pit		Starting Volume	1987.1
Brine	Water		Cased Off		Trip Losses	6	Daily Additions	72.8
Base Fluid	Product	17.8	Left In Hole		Injected		Daily Losses	289
Recycled	Other		Discharged		Spill To Environment		Ending Volume	1770.9
			SCE	39	Onshore Disposal		Net Change	-216.2
			Evaporation	18	Returned			
			Other Losses	196				
							Total Active	1373.9
							Total Reserve	397.0

IADC Hours							
Drilling Formation				16.5	Circulate		7.5

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	25639.28	Daily Product Cost	0.00	Primary Product	327492.35
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	26381.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	26539.28	Total Daily Cost	0.00	Primary Total	353873.60
Total Inventory Value	241709.80	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	308249 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	80					40	40	6.25		
CARBO-GEL	50 lb	105					7	98	1.81	1.50	
MIL-LIME	25 kg	120					120		3.68	2.91	
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	12					2	10	2.02		
OMNI-PLEX	55 USgal	12						12	0.68		
OMNI-TEC	55 USgal	5						5	1.51		
PARA-TEQ	1 bbl	393					55	338			
Water Based Product											
BLACK MAGIC SF T	25 kg	80						80			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	71						71	5.33	9.16	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	140					20	120	1.22		
CALCIUM CARBONATE - MED	25 kg	160					40	120	1.33		
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	26539.28 USD	353873.60 USD	241709.80 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.